

There is one further relevant point about comparing the TIPS ladder with the STRIPS ladder. The STRIPS ladder was built with a COLA of 2 percent. Its cost was just slightly less than the TIPS ladder. Calibrating the two costs can provide us with a break-even inflation rate between TIPS and STRIPS. A COLA of about 2.17 percent calibrates the costs for the two ladders. In terms of which then provides a better performance for retirees, the TIPS ladder provides more income and inflation protection if realized average annual inflation exceeds 2.17 percent over the next thirty years, while the STRIPS ladder would be able to match actual inflation and provide surplus (in real terms) should the realized inflation experience fall short of 2.17 percent. The choice between ladder types should depend on how you feel about the likelihood of high inflation in the future, as well as a consideration about the impact of different inflation scenarios on your lifestyle. If your inflation expectations exceed what the market has priced in or if high inflation will be more damaging to your lifestyle than low inflation, then this tilts the decision in favor of TIPS over STRIPS. Conversely, if you are not worried about inflation and high inflation will not have a negative impact on lifestyle, then you might choose to construct your bond ladder with STRIPS using a smaller COLA that allows the ladder to be purchased more cheaply.